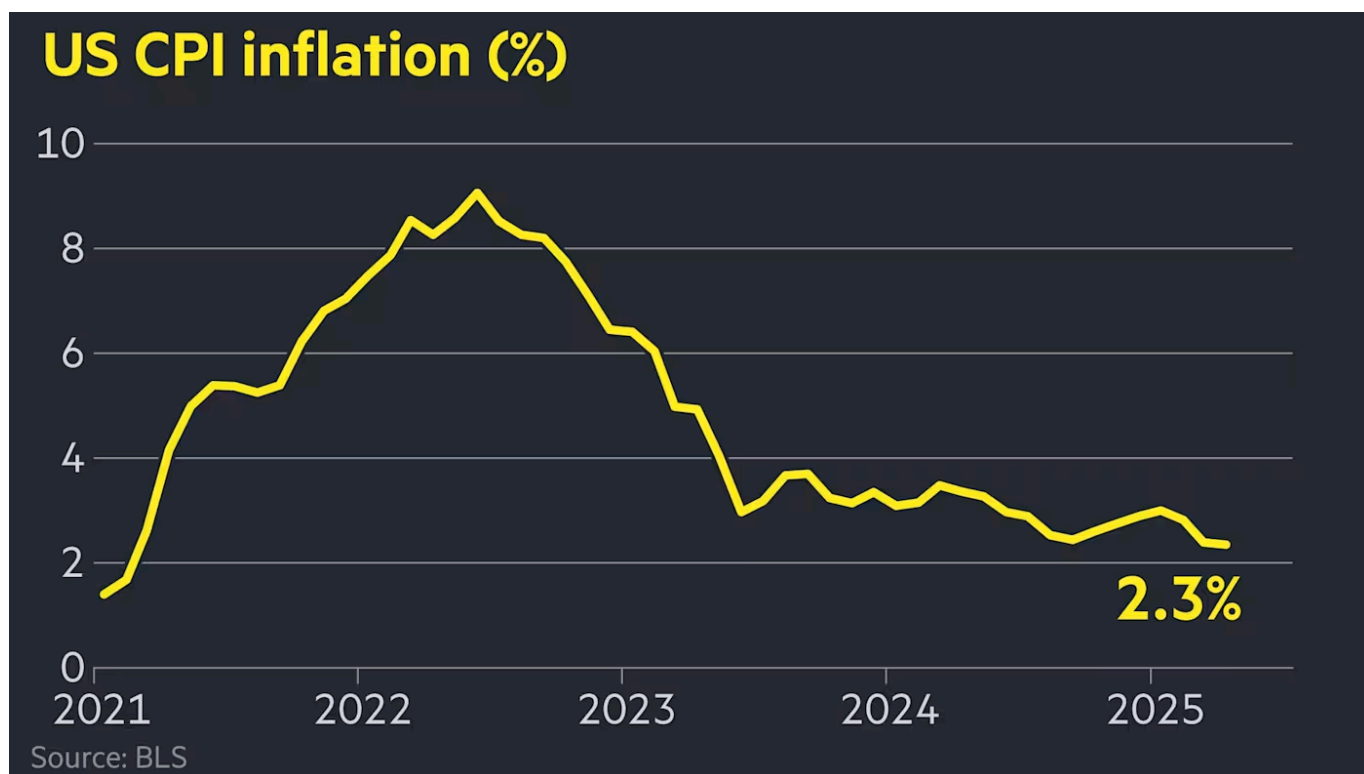


US inflation

US inflation falls to 2.3% in April as tariff effect looms

Economists caution that much of the impact of Trump's levies is yet to be felt



Claire Jones in Washington and Kate Duguid in New York

Published MAY 13 2025 | Updated MAY 13 2025, 13:59

US inflation fell to 2.3 per cent in April, the month Donald Trump imposed his global tariffs, as the US president maintains pressure on the Federal Reserve to cut interest rates.

Tuesday's annual consumer price index figure from the Bureau of Labor Statistics was below the expectations of analysts surveyed by Bloomberg that [inflation](#) would remain at March's 2.4 per cent rate.

But prices went up 0.2 per cent month-on-month, compared with a 0.1 per cent fall in March.

Although Trump has cut back many of the [tariffs](#) he announced on April 2 — including this week with China — economists caution that most of the impact of the import duties has yet to be felt, with Fed officials anticipating further increases in price pressures.

April’s figure was brought lower by a drop in price for services such as airfares, hotels and sporting events. Groceries fell 0.4 per cent, led by a 12.7 per cent drop in egg prices as they reversed some of their bird flu-driven surge.

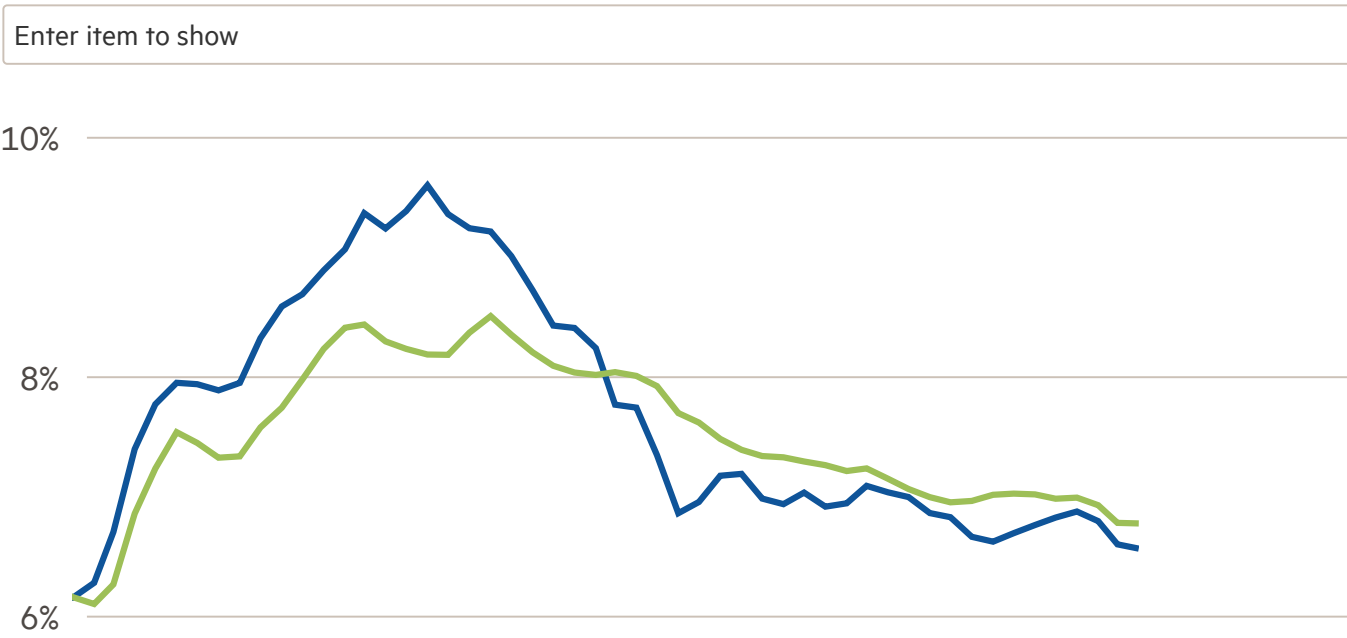
“Everyone is watching for the tariff impacts,” said Andrew Hollenhorst, economist at Citigroup. “And we didn’t see that in today’s report.”

The core inflation rate, which excludes changes in the price of food and energy products, remained at 2.8 per cent in April, the BLS said.

US inflation ticked down in April

% change in consumer price index for all urban consumers

Year over year ▼



The Yale Budget Lab, a university research organisation, said on Monday that, because of the tariffs, the average US consumer would pay \$2,800 more for products this year than in 2024.

“We do expect to see some tariff impact on the May and June CPI reports, so the [Fed](#) has a fairly long runway to observe the incoming data,” said Durham Abric at Citadel Securities.

The US central bank, which has kept rates in the 4.25 per cent to 4.5 per cent range for six months, next meets in June.

Trump has heaped pressure on Jay Powell to cut borrowing costs, adding last week that dealing with the Fed chair was like “talking to a wall”.

The president took to social media later on Tuesday, writing in a post that there was “No inflation” and that the prices of petrol, energy and groceries were down.

“THE FED must lower the RATE, like Europe and China have done. What is wrong with Too Late Powell? Not fair to America, which is ready to blossom? Just let it all happen, it will be a beautiful thing!” Trump wrote.

[US stocks were higher](#) in afternoon trading, with the S&P 500 up 1 per cent and the Nasdaq Composite up 1.8 per cent.

The dollar index, which measures the US currency against a basket of six rivals, was 0.6 per cent lower.

The two-year Treasury yield, which follows interest rate expectations and moves inversely to prices, was up 0.02 percentage points at a one-month high of 4.02 per cent.

Traders expect the Fed to lower interest rates twice this year, with a small chance of a third quarter-point cut, roughly as they had before the inflation data.

The Fed’s preferred inflation target is not CPI but the Personal Consumption Expenditures, which fell to 2.3 per cent in March but remained above the central bank’s 2 per cent goal.

Follow the topics in this article

US inflation

US interest rates

Federal Reserve

Donald Trump

Claire Jones